



How it works

The net worth figure tells financial institutions a lot about an individual's financial status. Over time, a person's net worth can fluctuate – for example, their total assets will grow if bank deposits earn interest, and their level of debt will increase if they take out a

new mortgage. If a person's net worth increases, it means they are enjoying good financial health; if it decreases, the opposite is true.

Net worth is a more relevant indicator of financial health than income or wealth because it takes into account any debt that is owed.

US\$30 million

liquid asset value of ultra-high net worth individuals



Personal assets

Can be sold for cash but may take time

- A home, which can be sold if downsizing
- Additional property such as a holiday home
- Art, jewellery, and other valuables
- Furniture, especially collectable pieces
- Vehicles (although they lose value quickly)



Contingent liabilities

May be owed in the future

- Taxes such as capital gains
- A car or other loan guarantees for children who may not be able to keep up with repayments
- Damage claims such as lawsuits
- Solicitor fees for personal legal disputes



NEED TO KNOW

➤ High net worth individual (HNWI)

A person with liquid assets that are worth over US\$1 million.

➤ Very high net worth individual (VHNWI)

An individual with liquid assets that are worth at least US\$5 million.

Net worth

This figure – assets minus debt – can be used by anyone to assess an individual's wealth at any point in time.

- If the figure is negative, then their debts are greater than assets and financial health is poor.

- If the figure is positive, their assets are greater than the value of their debts and their financial health is good.

- Financial advisers suggest that their clients calculate their net worth once a year.

LIQUIDITY AND NET WORTH

Although net worth is a useful measure of current wealth, liquidity tells savers and investors how much cash they could access in an emergency. It is always worth keeping a proportion of investments in a form that can be easily converted into cash.